European Commission -
Speech
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Remarks by Commissioner Šefčovič at the Structured Dialogue with the European Parliament's Committee on International Trade

Brussels, 24 February 2026

Dear Chair,

Honourable Members.

It is a pleasure to be here in front of the European Parliament Committee on International Trade for this Structured Dialogue.

It hardly feels like a year since we last met, because the time has been so dynamic and so much has happened.

So I want to start by thanking you for our joint work on what has become a turbocharged EU trade.

Not least, because international trade continues to lie at the epicentre of Europe's competitiveness and ability to act on the geopolitical stage.

Our world-leading network of free trade agreements; our work to open new markets; and our support for fair and rules-based trade all help us defend European interests in a challenging world.

Today's global trade landscape is fast-moving, and I would like to use this opportunity to provide a brief overview of where we stand on the various files, from my point of view.

First, as regards the United States, our number one trading partner, we always knew our relationship would require careful management.

We have faced challenges recently. But through our firm and cool-headed approach, with unity and continuous engagement, we have moved forward.

The deal concluded in July last year, and the Joint Statement, have restored much-needed certainty and stability.

This was of key importance for our businesses and workers, and the entire global trading system.

Last Friday, the U.S. Supreme Court ruled that the President cannot impose tariffs under the International Emergency Economic Powers Act (IEEPA).

In response, President Tump enacted 'temporary import surcharges' of 10% on top of existing Most Favoured Nation duties until 24 July, while maintaining exemptions on important sectors, like aircraft, pharmaceuticals, and energy products.

232 tariffs on cars, steel and aluminium, trucks, and lumber remained unaffected.
Since the ruling I have been in constant touch with my counterparts, and they both reassured me they stand by the deal with the EU. U.S. Trade Representative Jamieson Greer has also said that publicly.

At the same time, we are discussing ways to address the issue of steel and aluminium derivatives by making it more practical and productive. I hope we can find solutions very soon.

As them, we must also remain committed to our deal.

I understand your decision to delay this morning's votes on the relevant regulations.

But it is imperative we keep the process moving forward in implementing our commitments under the Joint Statement.

A vote in Plenary in March must remain our target, under the condition, of course, that we get more

clarity from the U.S.

There are also other positive strands of cooperation emerging with the U.S. For instance, we are negotiating a bilateral MoU on CRMs and working on a plurilateral initiative on CRM supply chains.

So we will continue to engage at all levels.

Our strategy is clear: we stay united, composed, committed to our deal, while expanding our network of trade agreements with other trading partners.

I will continue seeking the clarity we need and informing you transparently, as I have done so far.

Turning to China, where we are seeing an acceleration and strengthening of trends of concern to us.

First, China's ever-growing dominance in key sectors, including those at the higher end of the value chain.

China's manufacturing output reportedly already matches that of the EU and the U.S. combined, with a global share of 30% and growing.

Second, an increasing imbalance in our bilateral trade with the EU's trade deficit with China reaching 360 billion euros in 2025.

Third, the decreasing market share of EU companies in China, with their exports and investments in third countries being displaced by their Chinese competitors.

Fourth, China's ability to use our dependencies in strategic sectors, as evidenced by the imposition of export controls in the critical raw materials sector by Beijing in recent years.

Our response continues to be three-fold.

We continue to engage with the Chinese side, and here, too, I am in constant touch with my counterpart, Minister Wang.

We are currently discussing prospects for high-level engagement this year, while keeping in mind that any such engagement should be results-driven.

Furthermore, we should look into more effective and efficient autonomous trade and industrial action where merited, as per the economic security strategy.

Lastly, we must accelerate diversification through new free trade agreements and deeper partnerships and like-minded partners.

We need these countries to effectively break-off our dependencies on China and open new trade and investment possibilities for our companies. I will come to this point later on.

The economic security strategy, which we published in December, reflects a paradigm shift, moving to a more proactive and targeted use of our toolbox.

It also outlines the urgency of the EU, its Member States and – importantly – industry, to systemically factor in a 'security premium' to reduce vulnerabilities and enhance our overall security.

This reinforced approach is designed to ensure that the EU remains competitive and able to secure supply chains in a changing geoeconomic landscape.

Our work to diversify our trade is another key element of this effort, and is yielding much fruit.

The deal with the Mercosur region will create a unique, regional, bloc-to-bloc free trade area of over 700 million people.

The required protections were built into the deal, with the passing of the Bilateral Safeguard Regulation offering assurances to farmers.

I believe that Parliament's decision to refer the deal to the ECJ was unfortunate, not least because it may delay parliamentary scrutiny – your scrutiny – for up to two years.

The Commission – and myself personally – remain committed to seeing Mercosur ratified and implemented quickly.

Every year we lose is a year of lost trade, jobs and economic opportunities that we badly need for our

competitiveness and prosperity.

Let me be specific: between 2021 and 2025 the EU would have benefitted from an extra 183 billion euros in exports and 291 billion euros in GDP if the agreement had been in force.

I hope that very soon I will bring to your table for the final process of ratification the free trade agreement with Mexico.

The recently-agreed FTA with India, meanwhile, will help open up the world's fourth largest economy, traditionally marked by high tariffs and significant non-tariff barriers, to the EU.

The deal liberalises 97% of our trade (93% to zero) with 4 billion euros per year in tariff savings.

It opens huge opportunities to expand trade that is currently commercially unattainable.

In addition, the Comprehensive Economic Partnership Agreement with Indonesia offers EU exporters the chance to expand and find new markets, liberalising 98% of trade with the largest economy in Southeast Asia.

Looking ahead, talks with Australia are ongoing. I hosted my Australian counterpart earlier this month, and Commissioner Hansen joined us to discuss the more sensitive agricultural elements of the proposed deal.

We were able to make good overall progress, and further technical work is now underway to bridge the remaining divergences.

Talks with the Philippines are also advancing, and we hope that it may be possible to conclude still this year.

The latest round with Thailand was of a more technical nature given the recent elections there, but we see a strong commitment from the Thai side to move forward.

A round also took place last week with Malaysia, as we look to exchange market access offers later this year.

While a round earlier this month with the UAE has allowed for further exchanges in a number of important areas, with a view to narrowing the differences on key outstanding issues.

We also continue our work to forge closer relations with the CPTPP, as well as to diversify our offers to third countries, through Digital Trade Agreements, SIFAs, and CTIPs.

Indeed, next week will see the first government-to-business meeting in South Africa as part of the implementation of our first CTIP.

The EU's active trade agenda also signals our firm commitment to rules-based trade, at a time when these principles are under increasing pressure.

With the World Trade Organization finding itself at a defining crossroads, we must work to prevent further erosion of the system.

And this is precisely what we have done with our vision for a fundamentally reformed WTO, which we put forward in January ahead of the 14th Ministerial Conference in Cameroon in March.

This is a long-term vision that aims for a system rooted in predictability, fairness, and flexibility.

It is about time we take a fresh look at the balance of rights and obligations agreed 30 years ago, which is no longer in tune with the global trade landscape of today.

We are now in the process of establishing a key grouping of WTO Members that wish to push for reform, to see how best to move forward.

Turning to steel. Our proposal to reduce steel quotas by 47%, to double the out of quota duty to 50%, and to strengthen traceability via the introduction of melt and pour requirements, are all vital to protecting this strategically and economically important industry.

I was therefore very happy to attend the first trilogue on the steel measure last night, and the Commission remains committed to facilitating a swift and smooth conclusion.

I will finish by touching on two other key pieces of legislation.

First, I'm very pleased to see the vote earlier today in this Committee in favour of the trilogue outcome of the FDI Screening Regulation.

This is an important step towards further reinforced public order and security across the EU.

And similarly, after protracted negotiations, we should all celebrate the conclusion of a new GSP framework, which underpins our trading relationship with 65 countries across the globe.

It was vital that we found a way forward to ensure continuity and predictability for these trading partners and for business.

Honourable Members.

As you can see, there is a lot happening in our joint work at the moment.

I am grateful for our continuous cooperation on so many key files and now I look forward to our debate.

Thank you.

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